

## The infrastructure stock solving AI's power crisis

When you ask ChatGPT a question, you're flipping on a very big switch.

Somewhere in the world, that question triggers rows of power-hungry chips to start crunching numbers...

Huge cooling systems kick on...

And watts of electricity flow in from the grid.

By the time ChatGPT answers your question, it's sent power surging through data centers filled with specialized chips that run so hot, they're submerged in cooling vats just to keep from melting down.

Now, realize 800 million other people are doing the exact same thing *every week*. Expand that to all artificial intelligence (AI) agents, and there are billions of people pushing AI's power usage higher with each question asked.

Today, AI data centers use almost 5% of all American electricity. Our current trajectory puts us over double digits by 2028.

Ireland already dedicates 4X more of its power (22%) to data centers compared to the US. By 2030, that number will rise to 30%.

And **Microsoft (MSFT)** has more than 400 data centers around the world. It now guzzles more electricity than entire countries like Iceland or Puerto Rico!

**Put simply, AI has created a power surge no one saw coming.**

Why does asking AI a question use 50X as much energy as Googling the same question?

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A **Google (GOOGL)** search is like looking up a word in a dictionary. Google checks its index of websites and retrieves a result.

AI *generates* your result by processing hundreds of billions—and even trillions—of parameters. Rather than fetching information for you, it absorbs data from across the internet, cross-checks its sources, and spits out the answer you need.

Google is like walking into a library and asking a librarian to find you a book. But AI is like having a digital assistant *read the book for you...* and fill you in on the important details.

There's just one problem: The more processing power you use, the more electricity you need.

AI requires specialized graphics processing units (GPUs) drawing 350–700 watts each. And a single AI data center could have 100,000 GPUs running at the same time.

Remember, these chips are running *hot*: Constant cooling can consume 30% to 40% of a data center's total power draw.

Plus, between 10% and 40% of AI's power consumption takes place before the models even go live to the public.

Training the original ChatGPT used the equivalent of a high-performance supercomputer running continuously for 14 years. The newest AI models use 10X as much power.

### **Better AI = more GPU processing = more power demand.**

That's why today's data centers use upward of 100 megawatts of power—about as much power as 80,000 American homes, or a dozen stadiums with lights and music blasting.

A decade ago, the average data center was a tenth as power-hungry, consuming just 10 megawatts.

AI growth is no longer constrained by how many chips you can get your hands on, but by how quickly you can get power.

We now rank data centers by how much electricity they guzzle up, not how much processing power they contain. Next-gen AI will crank energy demands to new extremes.

Elon Musk's xAI switched on the world's first 1 gigawatt data center on January 17. In a million-square-foot warehouse outside Memphis, Tennessee, 119 air-cooled chillers and an in-rack liquid-cooling system keep over 100,000 **Nvidia (NVDA)** GPUs from melting down.

A single data center now consumes as much electricity as San Francisco. Just wait until Musk expands that cluster to his target of over a million GPUs.

The power crunch isn't limited to xAI, either. Sam Altman reportedly said OpenAI is currently 12 gigawatts underserved on power.

Microsoft CEO Satya Nadella recently admitted the company's data centers have rows of GPU racks that can't even be turned on. As he puts it, "The biggest issue we are now having is not a compute glut, but power."

Tesla even refused a shipment of new AI chips because there wasn't enough power to run them.

Now, billions of people have digital assistants in their pockets... but each new user strains our already outdated energy grid.

I've often said that the US power grid is archaic, regulated, and slow. Connecting to the grid takes five years, on average. But AI can't wait years.

That's why the smartest companies aren't waiting for the energy grid to catch up. The new blueprint for AI giants is to go off-grid and BYOP: bring your own power.

In other words, when the national energy grid is overwhelmed, you build your own.

**Amazon (AMZN)** is pouring \$500 million into small modular reactor (SMR) tech. Anywhere you need reliable, stable, clean power on demand, you can plop down an SMR and have enough off-grid electricity for decades.

Microsoft is also pivoting into nuclear energy by trying to reopen Three Mile Island in Pennsylvania. And Google plans to start offloading some of its data center power demand onto SMRs by 2030.

I'm a longtime nuclear bull. AI's massive power demands could break the dam and make nuclear bullishness mainstream again. But the power crunch story is even bigger than nuclear energy alone.

Everything tells me powering AI could be among the biggest investing opportunities over the next decade.

AI pessimists see the power bottleneck as a binary problem: Either we generate more power for AI, or demand AI use less power.

Innovators, on the other hand, see a major opportunity for disruption: Move the power we already generate more efficiently. This hotspot is exactly where we want to be.

As Chris will explain below, the financial media is already waking up to the scale of the power bottleneck...

# These “shock absorbers” make the power grid stronger and smarter

*“America’s Biggest Power Grid Operator Has an AI Problem—Too Many Data Centers”*

That’s the title of an article *The Wall Street Journal* ran last week.

Stephen has already talked about the unprecedented and massive power demands of AI data centers pushing the grid to the brink, so I (Chris Wood) won’t belabor the issue.

I mention the *WSJ* article simply to highlight the fact that this problem is already widely known.

What’s *not* widely known: the solutions.

That’s where a small company most folks have never even heard of comes in. It’s one of the most compelling investment opportunities I’ve ever researched...

A team of MIT engineers founded **American Superconductor (AMSC)** in 1987 as a “new materials” company trying to commercialize high-temperature superconductors (HTS)—special materials that can carry electricity with almost no resistance when cooled.

Superconductors are still part of AMSC’s business (we’ll talk more about that later). But over time, the company realized the world didn’t just need better wires able to carry 200X the electrical current of traditional copper wires.

It also needed better power electronics and control systems—“brains and muscles” to keep electricity stable and flowing smoothly without breaking down during periods of high demand.

Today, AMSC is a leading provider of products and services that make the grid stronger and smarter. In the company’s words: “Our solutions orchestrate the rhythm of power on the grid” to increase its “capacity, resiliency, reliability, security, and efficiency.”

A big part of AMSC’s business is providing systems that work like “smart shock absorbers” for the grid.

See, the electricity that comes out of your wall socket isn’t as stable as you might think.

Voltage fluctuates constantly. Sometimes it dips briefly—what engineers call a “voltage sag.” And sometimes it spikes. For us at home, we might notice a brief flicker of the lights and think nothing of it.

But for a semiconductor fabrication plant or an AI data center, that brief flicker can be catastrophic.

A voltage sag lasting a fraction of a second—literally faster than you can blink—can crash servers and corrupt data (ruining AI training and inference work), destroy an entire batch of semiconductor chips, or damage expensive industrial equipment.

The Electric Power Research Institute estimates that voltage sags (and other power-quality disturbances) cost American businesses nearly \$200 billion a year.

AMSC's **D-VAR systems** detect these fluctuations and compensate for them in milliseconds by injecting or absorbing “reactive power” to keep the flow of electricity smooth and stable.

You can think of it like trying to fill a bathtub while someone flushes a toilet elsewhere in the house. Without some kind of compensation, your water pressure would suddenly drop.

AMSC's D-VAR tech is like a system that instantly detects that pressure drop and compensates for it before you have time to notice a difference.

Utilities buy AMSC's D-VAR systems to stabilize voltage on the grid.

The systems also allow utilities to seamlessly connect large wind and solar farms to the grid so fluctuations in output from these intermittent renewable sources—like when a big gust of wind hits the turbines or a cloud covers the sun—don't destabilize the network. And they help protect industrial facilities against voltage sags and swells.

What's incredibly important to understand about AMSC's D-VAR systems is that, by stabilizing voltage levels and improving overall power quality, they effectively boost the capacity of transmission lines and equipment.

So instead of spending billions of dollars and several years securing permits and building new lines and substations, utilities can install AMSC's D-VAR systems in a matter of months.

Each system costs roughly \$2 million to \$3 million, and most projects require only three to four systems placed at strategic points on the grid.

This allows utilities to squeeze significantly more usable power out of their existing infrastructure without risking instability. It's like adding lanes to a highway without pouring any new concrete.

This is particularly important today considering the massive electricity demand coming from AI data centers (more on this in just a bit).

D-VAR systems connect at the distribution level of the power grid—at substations, along utility feeders, or near renewable energy installations. They're on the utility's side of the network, helping manage voltage for broad areas.

AMSC's **PQ-IVR systems** are another example of the company's “smart shock absorbers.” But these systems essentially connect right at the entrance to an industrial facility—like a semiconductor fab—to protect that specific site from voltage sags and swells.

**Micron Technology (MU)**—one of the “big three” memory chip makers and a *Disruption Investor* holding—adopted AMSC's PQ-IVR solution at its Boise fab, for example. The system cushions the shock from voltage disturbances to protect Micron's sensitive semiconductor equipment and the chips it makes with that equipment.

One of AMSC's most interesting solutions is its **Resilient Electric Grid (REG) system**. This isn't a piece of equipment installed at a substation or industrial facility.

Instead, it's an entire cable system that uses **AMSC's proprietary Amperium HTS wire**—able to transmit 10X more power than a normal cable the same size—to connect substations in a city together into a networked “loop,” which the company says “doubles or quadruples” grid reliability.

In most urban areas, each substation feeds a separate pocket of the city. If one substation fails, that pocket goes dark. Utilities typically don't interconnect substations because regular cables can't handle the surge from a short-circuit—the “fault current.”

AMSC's REG system allows utilities to network the substations together for redundancy without blowing everything up when a fault happens. The result: If one station goes down, others pick up the slack instantly.

In simple terms, the REG system is like a super-robust extension cord that can carry a ton of power while doubling as a surge protector when things go wrong—essentially functioning as a backup local grid without needing to build all that infrastructure.

The first REG system is already in use in Chicago, thanks to some funding from the US Department of Homeland Security and a partnership with the city's utility company Commonwealth Edison (ComEd).

It increased the grid's reliability and capacity without requiring new overhead lines or a huge construction project, because the compact underground cable can be threaded through existing ducts easily.

Even so, this is a more complex, higher-priced solution (in the tens of millions of dollars) than AMSC's family of “smart shock absorbers.” But it's still much cheaper and faster than building traditional infrastructure.

And if it takes off, AMSC would face no competition.

## AMSC's answers to the AI data center explosion

The explosion of AI data centers is directly driving grid upgrades. And these centers are being built faster than traditional grid projects can keep up—creating enormous pressure to find quickly-deployable solutions to accommodate them.

AMSC's fast-to-install solutions like its D-VAR systems are ideal stopgaps and enhancers. They don't power the AI directly but strengthen the “power highway” delivering electricity, helping grids handle the AI explosion.

Consider places like “Data Center Alley” in northern Virginia, with the world’s largest concentration of data centers. As of early 2026, the region hosts nearly 600 data centers overall, about 150 of which are hyperscale AI centers.

Installing AMSC’s REG systems there could greatly improve reliability and allow more data centers to connect by increasing effective capacity at a much lower cost than traditional solutions.

Meanwhile, AI data centers are even more sensitive to power quality than traditional data centers or semiconductor fabs.

These facilities run incredibly expensive equipment at extreme intensities around the clock. They need near-perfect power reliability and quality. A momentary voltage disruption can interrupt AI training runs and crash servers, causing hardware damage and big economic losses given the high cost of AI compute time.

That makes a system like AMSC’s PQ-IVR even more important. Because although AI data centers do have backup generators and battery-based uninterruptable power supplies, this equipment only covers full outages.

A PQ-IVR System installed at the center’s entrance would add a shield against minor grid disturbances and smooth out any potentially hazardous bumps to provide steady power at all times.

AMSC has already delivered on resiliency-enhancing grid projects to address the AI data center explosion from the utility’s side of things. I expect these projects to be a strong revenue driver for the company going forward.

I also expect the company to begin to deliver directly to data center construction projects very soon—and for these projects to be a big revenue driver for the company.

On AMSC’s most recent earnings call in November 2025, CEO Daniel McGahn said that engineering and procurement companies AMSC’s worked with for many years are getting heavily involved in data center construction—and that these long-time partners are pulling AMSC along with them as a trusted supplier.

Regarding a timeline for these projects, McGahn said:

And in data centers, we hope to announce at some point in the relatively near future that we’ve delivered on our first project to the construction of a data center. We think that opens up a whole other opportunity for us, but it’s very early days here.

Note: I think the “relatively near future” and “very early days” parts of McGahn’s commentary are more about him positioning to under-promise and over-deliver rather than telling investors exactly the way he sees things playing out.

I’d be very surprised if we don’t hear an announcement about AMSC’s first data center construction project within the next 12 months... and probably sooner.



The order sizes in this market should be substantial. AMSC's semiconductor fab projects typically generate anywhere from \$2 million to \$10 million in revenue. And McGahn said data center projects will be "exactly in that same range and larger."

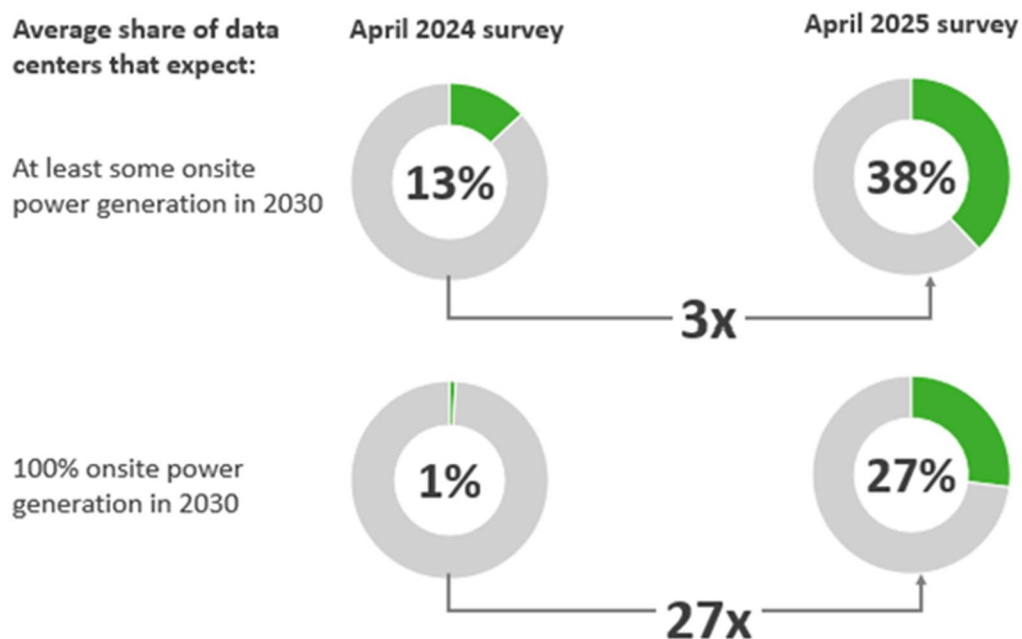
When I think about AMSC's long-term potential, this AI data center business represents optionality (basically a hidden upside bonus) that doesn't seem to be at all reflected in how most investors think about the company.

Importantly, AMSC's big opportunity in AI data centers doesn't just come from facilities that are grid-connected.

Due to surging power needs outpacing traditional grid capacity upgrades and connection timelines—with wait times now stretching three to seven years in many areas—new AI data centers are increasingly built off-grid, typically using natural gas generators for quick, on-site power.

As you can see in the image below, a Bloom Energy survey shows that by 2030, industry leaders expect on-site generation to fully power 27% of data centers:

#### Expectations for onsite power generation in 2030 continue to rise<sup>2</sup>



2. Survey question: What percentage of data center sites do you think will have at least some onsite power generation in 2030? 100% onsite power generation in 2030?  
Source: Survey of data center decision makers (n=30 in April 2024, n=100 in April 2025)

Source: Bloom Energy

Using on-site power avoids grid delays, but these facilities still face challenges like voltage stability, space constraints, and efficient power delivery within the building.

AMSC's superconductor cables appear well-suited for distributing power inside the facility, reducing space needs and energy losses. They could help manage AI workloads without bulky traditional wiring.



The company's PQ-IVR systems could perform their role as a "smart shock absorber" for sudden dips or spikes in voltage from the generators to keep AI workloads humming along and prevent damage to the sensitive equipment. And AMSC's D-VAR systems could stabilize on-site voltage in hybrid setups with batteries and/or renewables alongside gas.

## This growth story doesn't end with data centers

AMSC has another business that may not be as exciting as helping solve the power problems faced by AI data centers. But it still offers significant growth potential: providing ship protection systems for the US and allied navies.

Since World War II, navies have protected their warships by wrapping bulky copper cables around their hulls to make "degaussing systems"—essentially cloaking their magnetic signature to avoid triggering mines.

AMSC reinvented this system with its HTS (superconductor)-based Ship Protection System (SPS), which does the same job with 50% to 80% less weight. That's huge. It means better fuel efficiency, more payload capacity, or both.

The company's HTS-based SPS was first deployed on the USS Fort Lauderdale in 2022 (pictured below). And the system has since been designed into this ship-class—the San Antonio-class amphibious warfare ship platform.



*Source: seaforces.org*

In June 2024, AMSC won a \$75 million contract to provide its HTS-based SPS to the Royal Canadian Navy—the first deal inked so far with an allied navy.

And on its most recent earnings call, CEO McGahn revealed the company won a new contract with the US Navy to design “a completely new class of product, not for protection.”

This new program is in the early design phase and won't generate revenue in the immediate future. But McGahn did say the “order of magnitude of it is greater than ship protection.”

I also want to briefly mention AMSC's wind business before moving on.

The company designs wind turbines and sells the electrical control systems that go in them—the tech that regulates voltage, controls power flows, and maximizes efficiency.

The Wind segment accounts for about 17% of AMSC's revenue. It's not a sexy growth part of the story, but it provides predictable revenue and helps cover fixed costs while the higher-growth Grid business scales.

## **AMSC's latest move unlocks a bigger market**

Just last month (December 2025), AMSC announced the acquisition of Comtrafo—a Brazilian company that makes high performance, utility-scale power and distribution transformers.

I bring this up because it highlights how smart management is positioning the company.

Transformers—the massive metal boxes installed at substations that step voltage up or down and are critical for any grid expansion or data center connection—are probably the most constrained piece of power infrastructure right now.

Lead times for large power transformers have stretched to an average of 128 weeks (2.5 years). Some specialized units now take over four years to deliver. And average prices have nearly doubled in the past five years.

AMSC has built transformers since its August 2024 acquisition of a company called NWL Inc. But these were smaller units. Comtrafo takes AMSC into the big leagues of utility transformers.

Instead of just selling the “add on” power-quality systems to a utility, AMSC can now supply the transformer, too—often the single most expensive piece of equipment in a substation. This positions AMSC as a more comprehensive supplier.

If a utility is upgrading a substation to serve a new AI data center, for example, AMSC could provide the big transformer *and* the voltage stabilization system as a package.

Meanwhile, Comtrafo gives AMSC immediate entry into Brazil's \$1.5 billion annual transformer market at exactly the right time. The country is investing heavily in grid infrastructure, with at least \$20 billion in planned upgrades over the next 10 years... and potentially up to \$80 billion.

But the strategic value goes beyond Brazil. The global transformer market is projected to grow from \$30 billion to \$42 billion by 2030. Comtrafo comes with 350,000 square feet of manufacturing space and over 100 acres of land for expansion.

AMSC structured the deal with an earnout tied to doubling the business over three years—alignment that tells me both sides believe significant growth is achievable.

This acquisition transforms AMSC from a company that helps utilities with power quality into a company that can supply the fundamental building blocks utilities need to expand the grid. That's a much bigger market.

Comtrafo is expected to add about \$55 million in annual revenue at roughly 30% gross margins and immediately accrete to earnings.

Speaking of earnings...

## AMSC's path to profits

For years, American Superconductor was a company with great technology but inconsistent financial results. That's changed dramatically.

The company has now delivered five consecutive quarters of GAAP profitability and nine consecutive quarters of non-GAAP profitability. Gross margins have expanded to above 30%—up from the low-20s in 2024.

In the trailing 12-month (TTM) period, AMSC generated \$15.1 million in net income on \$266.3 million in revenue. Revenue growth has also been impressive. That \$266.3 in TTM revenue reflected annual growth of 51.2%.

AMSC's backlog—contracted work the company hasn't performed yet—also tells a compelling story. Its 12-month backlog now exceeds \$200 million, up 43% from a year ago.

Total backlog now exceeds \$300 million, as the company has been averaging over \$60 million in new orders per quarter over the past year, up from about \$45 million per quarter the year before.

Meanwhile, the balance sheet is pristine. AMSC ended last quarter with \$212.9 million in cash and zero debt (aside from a \$2.7 million lease liability)—giving the company financial flexibility to pursue growth opportunities without diluting shareholders or taking on risky leverage.

As CEO McGahn said on the November 6, 2025 earnings call:

In just one year, we've moved from breakeven to meaningful and consistent profitability. We're incredibly proud of that. We believe that's a strong indicator of how the business is scaling and how we're executing across our core markets.

Yes, this \$1.5 billion market cap company has some stiff competition in the power electronics space. It's going up against industrial giants like Siemens, Mitsubishi, and Hitachi—firms with much larger scale and broader product portfolios. But this doesn't concern me.

The market opportunity is so large—and growing so fast—that multiple companies can win simultaneously. What's more, AMSC has carved out niches where its technology is differentiated and superior.

Its superconductor-based ship protection systems, for example, face no competition—the alternative is the traditional copper-based systems that weigh 50% to 80% more. AMSC's voltage sag mitigation systems have effectively become designed into semiconductor fabs built in North America.

The company also has deep relationships with a bunch of the engineering and procurement companies now getting heavily involved in AI data center construction, and these partners are pulling AMSC along with them.

Going forward, I think AMSC can grow revenue at a compound annual rate of at least 30% for the next several years. Using this forecasted growth rate, I calculate a GARP Quotient of 0.18.

As we say in [The Growth Stock Anomaly special report](#), anything below 0.3 is “extremely promising” and indicates the market is severely undervaluing the company's growth.

One final note: I do expect AMSC to be volatile for the foreseeable future. The stock fell more than 38% the day after reporting its most recent—and very good—quarterly results, likely because traders wanted to see more AI-driven growth.

As I alluded to earlier, I think that part of the story is coming. But until it materializes in earnest—and because quarterly revenue results are inherently lumpy—it could be a bumpy ride for AMSC bulls in the months ahead.

In the meantime, the stock's recent weakness gives us the opportunity to get positioned at what I see as a very attractive valuation.

# Putting it all together

There's a lot we hit on today. So, let me distill everything down to a few key points before I share the buy instructions.

1. We have a structural problem that isn't going away. America's power grid is old and struggling, AI data centers are demanding more electricity than anyone anticipated, and the infrastructure to deliver that power can't be built fast enough. This creates sustained demand for companies that can help utilities and industrial customers get more reliability and capacity out of existing infrastructure.
2. AMSC has proven technology that addresses exactly this problem. It's not a startup hoping its products will work—it has over two decades of experience deploying power quality systems for utilities, semiconductor fabs, and industrial customers. The technology works, and customers keep coming back for more.
3. The company has hit a financial inflection point. After years of inconsistent results, AMSC has now strung together five consecutive quarters of profitability with expanding margins. Revenue growth is extremely robust. The backlog is at record levels. The balance sheet is strong. Management is executing.
4. The AI data center opportunity is just beginning. AMSC has the relationships, the technology, and the track record to become a significant supplier to this market. When management says they hope to announce their first data center project "in the relatively near future," I believe that could be a catalyst that helps more investors understand what this company really is.
5. The Comtrafo acquisition expands the opportunity set significantly. Transformers are the most constrained piece of electrical equipment right now, and AMSC just bought a profitable transformer manufacturer with room to grow in a market that's desperate for capacity.
6. This is still a relatively undiscovered story. AMSC has a market cap of around \$1.5 billion. That's small enough that continued strong execution in a big market could drive 10X upside over time, but it's established enough that we're not betting on unproven technology or hoping they figure out how to make money.

**Action to take: Buy a full position of American Superconductor (AMSC) up to \$40 and set a 70% hard stop.**

# 5 picks-and-shovels stocks powering the chip boom

In [July](#) 2025, we recommended **SiTime Corp. (SITM)** as a picks-and-shovels play on AI. SiTime makes microscopic timing devices that enable the synchronization of AI processors (chips).

Without devices like this, AI simply wouldn't work.

As we write this, SITM is up an incredible 91% after just six months of holding time.

When our AI system screened the fastest-growing stocks on the market this month, SiTime was still high up on the list. But it was far from the only "chip-adjacent" stock we saw.

Today, we will look at four disruptors that are critical to the chipmaking industry. These are companies making the essential parts and equipment all chipmakers need.

While we are not officially recommending these stocks today, we believe they are key cornerstones to the entire semiconductor industry. And that alone makes them worth watching.

As a reminder, the stocks we target have a market cap between \$200 million and \$20 billion. These stocks trade on American exchanges, but they aren't necessarily American companies.

**ACM Research (ACMR)** makes equipment to clean, electroplate, polish, and package semiconductors—necessary steps for chip production. It's key to China's chip industry, with about 30% to 35% market share for chip plating there.

As of ACMR's most recent quarter, revenue grew 32% year over year thanks to growth in its cleaning equipment segment. From what we see in company earnings reports, ACMR's management is funneling all extra cash into next-gen tools and expanded production capacity.

As we've seen with every chip stock in our portfolio: Production bottlenecks create rich opportunities for smart disruptors. If ACMR can bulk up its production capabilities to capitalize on growing demand for cleaning equipment, more revenue can snowball into future quarters.

**AXT Inc. (AXTI):** When you look at a chip and see the city-like grid of integrated circuits etched into it, you're holding a finished, processed "wafer." AXT makes those thin, plain "wafers" before they get loaded up with electronics. In other words, AXT makes the actual "chip" materials that other chipmakers build with.

As AI workloads demand more power, more efficiently... we need more advanced materials to build these wafers. That's where AXT comes in.



AXT makes wafers out of indium phosphide, gallium arsenide, and germanium. These materials are used when typical silicon wafers can't meet performance requirements. AXT's wafers go into everything from data center chips and 5G infrastructure to LED lights and solar cells on satellites.

If you want to move more information quicker, AXT's "super substrates" offer compelling solutions. That's why AXT is steadily growing revenues 18% year over year, with management pointing to increased sales for data center applications.

**Camtek Ltd. (CAMT):** Inspection and metrology equipment. This is the "quality control" equipment that is a must-have for any advanced chipmaker.

Camtek's equipment inspects and measures wafers throughout the semiconductor production process. Without inspection, you can't identify defects, ensure quality, or improve manufacturing yields. This is a make-or-break process for any chipmaker building next-gen AI chips.

As we've discussed in past issues of *Disruption\_X* and *Disruption Investor*, the newest AI chips stack modules of memory together into "towers" to make processing faster and more efficient.

But this high-bandwidth memory needs to be extremely precise. We're working down at the nanometer scale—much smaller than a human hair. Camtek's tools are strategically designed for high-bandwidth memory: They can detect inconsistencies in these chips before mistakes ever leave the factory.

Camtek has benefitted from AI infrastructure spending. Revenue is up 21% in the past 12 months, with management forecasting record revenue for the full fiscal year.

And it's a high-margin business, too, which lets it funnel lots of cash right back into research and development.

**MACOM Technology Solutions Holdings Inc. (MTSI):** Optical chips and analog components. MACOM makes dozens of specialized parts: light diodes, transformers, switches, microwave amplifiers, laser drivers, and photonics.

This diverse product output places MACOM at the forefront of every tech megatrend, from data center chips and wireless networks to electronic warfare for the defense industry.

When you send fiber optic data down a cable, you need transmitters and receivers at each end. This optical tech is where MACOM's real potential hides.

Data center operators are waking up to the fact that traditional copper wires can only move information so quickly. If you want to *really speed things up*, you go fiber optic. That means more big tech spenders will need the specific components that MACOM makes.



MACOM's revenue shot up 32.6% year over year in fiscal 2025 compared to fiscal 2024. As data centers incorporate more optical chips in their racks, they'll increasingly rely on MACOM's tech.

| 5 picks-and-shovels stocks powering the chip boom |        |                                           |                                    |                  |             |                       |               |
|---------------------------------------------------|--------|-------------------------------------------|------------------------------------|------------------|-------------|-----------------------|---------------|
| Rank                                              | Ticker | Name                                      | Description                        | Market Cap (\$M) | Stock Price | Weighted Growth Score | GARP Quotient |
| 1                                                 | ACMR   | ACM Research, Inc.                        | Semiconductor "wafer" cleaning     | \$3,478.68       | \$53.62     | 38.02                 | 0.08          |
| 2                                                 | SITM   | SiTime Corp.                              | Timing devices to replace quartz   | \$9,694.81       | \$371.44    | 28.01                 | 0.71          |
| 3                                                 | AXTI   | AXT, Inc.                                 | Semiconductor substrates           | \$1,029.91       | \$22.09     | 27.71                 | 0.30          |
| 4                                                 | CAMT   | Camtek Ltd.                               | Semiconductor inspection equipment | \$6,678.68       | \$145.93    | 25.45                 | 0.37          |
| 5                                                 | MTSI   | MACOM Technology Solutions Holdings, Inc. | Analog chip components             | \$16,536.21      | \$220.68    | 22.81                 | 0.49          |

Again, while we're not officially recommending these stocks for the *Disruption\_X* portfolio, we're watching the space closely. Future recommendations may come from this list.

For the most up-to-date guidance on our current positions, [click here](#) to view the portfolio online.

*Chris Wood Stephen McBride*

Chris Wood and Stephen McBride

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